

SPY Buy and Hold Benchmark 1

Strategy ID SPY-BEN1 · Package version 1.1.0 · QS Lab MI Research Package

What this strategy is

A benchmark. It buys the S&P 500 — the SPY ETF — with 100% of a \$100,000 portfolio and holds it for the whole period. It makes no decisions after the first purchase.

A benchmark is the yardstick you measure every other strategy against. Every strategy you build later has to prove it beats this simple approach, or safely trails it with less risk. Professionals never judge a strategy on its own; they judge it against a benchmark like this one.

Specification

Universe	SPY (S&P 500 ETF)
Position	100% SPY, bought once, held to the end
Starting capital	\$100,000
Period	January 1, 2005 - January 1, 2026
Rebalancing	None
Data	QuantConnect US equity data (dividends and splits handled by the platform)

How to run it in QuantConnect

1. Sign in at quantconnect.com and create a new algorithm (Python).
2. Delete the template code. Open the file `spy-ben1.py` from this package and paste its full contents into the editor.
3. Click Backtest and let it finish.
4. Download the results. The course shows you how to analyze them with Claude in the next step.

What to expect

The backtest shows what simply owning the US market did over two decades: long stretches of growth, and three major declines along the way (2008, 2020, 2022). Both sides matter. The growth is why the market is the standard to beat; the declines are why the course spends a whole unit on risk.

This package was delivered to your computer as an exact copy of the QSL original. The code is fixed on purpose: every student runs the same strategy, so every result is comparable. Educational illustration at stated settings - not investment advice. (c) Quantitative Strategy Lab.